Intel Corp (INTC US)

Buy: Server CPU opportunity still overlooked; foundry engagement continues improving

Equities
Semiconductors & Equipment

United States

- Expect another beat and raise at 3Q26 results, but slightly moderate compared to previous quarters
- Server CPUs strength to offset client weakness in near term; longer-term foundry narrative keeps improving
- Buy rating and street-high TP of USD200 retained

Bullish momentum to continue but 'beat and raise' to moderate: Ahead of the upcoming 3Q26 print on 29 October, we expect Intel's 3Q26e revenue of USD17bn, surpassing management's guidance of USD15.8-16.8bn and ahead of Visible Alpha consensus estimates of USD16.4bn. For 4Q26, we expect revenue of USD18.3bn (+7% q-o-q) compared to consensus of USD16.9bn (+3% q-o-q). While we continue to expect 3Q26 results to 'beat and raise', we expect it to be a bit more moderate compared to the previous two quarters as our street-high 3Q26 and 4Q26 revenue estimates are 4% and 8% above consensus estimates, respectively.

Server CPU strength to offset client weakness: We remain positive on Intel's server CPU revenue growth prospects as it continues to add more foundry capacity for server CPUs amid re-allocation. It has also paid USD934m y-t-d as prepayments to secure capacity for substrates and other components. Despite an +18% revision to 2027 DCAI revenue estimates since the 2Q26 print, we believe consensus still understates the growth opportunity. Our 2027 DCAI revenue estimate of USD36.7bn is 9% above consensus of USD33.6bn. We expect DCAI strength to more than offset potentially weaker client revenue from 2H26e, with our 2026/2027 client revenue estimates being 6% below consensus.

Foundry and EMIB engagement ever-increasing: In our note, *More upside from core server & foundry valuation*, 2 July, we highlighted the improving foundry narrative with increasing engagement across front-end foundry and advanced packaging. Recently there have been increasing reports suggesting engagement with NVIDIA for gaming GPUs; Broadcom for networking switches; and AMD for compute chiplets. Earlier this year, Intel confirmed that it would deliver the 0.9 PDKs to external foundry customers in 2H26. A positive update on this during the 3Q26 earnings call could be a key upside catalyst. We believe advanced packaging continues to be a major opportunity for Intel with its EMIB-T solution. Despite a potential delay to the ramp of Google's TPU v9 at MediaTek to end of 2027, we continue to believe increasing engagement with Amazon, Qualcomm, Microsoft, NVIDIA and Broadcom for EMIB-T should prove to be beneficial for Intel. EMIB-T could drive external foundry revenues ahead of front-end fabrication.

Maintain Buy and street-high TP of USD200: We value the core business using a 2027 target PE of 30x (unchanged) and the foundry business using a target 2027 PB of 3.1x (unchanged). Our rounded TP of USD200 (unchanged) is still the highest on the street as our 2026/27 EPS estimates remain 9%/18% above consensus. With over 100% implied upside, we retain our Buy rating. We see core business strength coupled with our expectations of foundry engagements coming to fruition starting from 2H26 and into 2027.

MAINTAIN BUY

TARGET PRICE (USD)	PREVIOUS TARGET (USD)
200.00	**200.00**
SHARE PRICE (USD)	UPSIDE/DOWNSIDE
90.47	**+121.1%**
(as of 26 Oct 2026)	

MARKET DATA

Market cap (USDm)	478,140	Free float	99%
Market cap (USDm)	478,140	BBG	INTC US
3m ADTV (USDm)	10,572	RIC	INTC.OQ

FINANCIALS AND RATIOS (USD)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	0.43	1.66	2.50	3.31
HSBC EPS (prev)	0.43	1.47	2.50	3.09
Change (%)	0.0	13.0	-0.2	7.0
Consensus EPS	0.34	1.53	2.11	3.23
PE (x)	212.5	54.4	36.2	27.3
Dividend yield (%)	0.0	0.0	0.0	0.0
EV/EBITDA (x)	53.8	29.1	23.3	17.4
ROE (%)	1.8	7.0	9.5	11.3

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

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This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: The Hongkong and Shanghai Banking Corporation Limited

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Financials & valuation: Intel Corp

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (USDm)				
Revenue	52,853	64,975	75,513	88,917
EBITDA	9,492	17,393	21,515	28,524
Depreciation & amortisation	-11,706	-14,391	-16,725	-19,694
Operating profit/EBIT	-2,214	3,003	4,791	8,830
Net interest	3,257	-13,780	-882	-805
PBT	1,557	-10,406	5,557	10,254
HSBC PBT	1,557	-10,406	5,557	10,254
Taxation	-1,531	-843	-611	-1,128
Net profit	-267	-11,382	3,845	8,026
HSBC net profit	1,929	8,475	12,726	16,892
Cash flow summary (USDm)				
Cash flow from operations	9,697	18,124	22,372	29,083
Capex	-17,672	-20,727	-25,070	-32,188
Cash flow from investment	-14,821	-21,727	-26,070	-33,188
Dividends	0	0	0	0
Change in net debt	-9,442	-5,115	-4,572	-4,166
FCF equity	-7,975	-2,603	-2,699	-3,105
Balance sheet summary (USDm)				
Intangible fixed assets	26,684	24,525	22,017	19,063
Tangible fixed assets	105,414	113,909	124,763	140,212
Current assets	63,688	68,585	71,423	75,312
Cash & others	14,265	16,880	17,626	18,619
Total assets	211,429	223,662	235,845	253,229
Operating liabilities	38,484	40,967	42,706	45,469
Gross debt	46,585	44,085	40,259	37,086
Net debt	32,320	27,205	22,633	18,467
Shareholders' funds	114,281	126,531	140,802	158,595
Invested capital	143,037	149,173	157,871	170,498

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	-0.5	22.9	16.2	17.8
EBITDA		83.2	23.7	32.6
Operating profit			59.5	84.3
PBT		-768.4		84.5
HSBC EPS		290.3	50.2	32.7
Ratios (%)				
Revenue/IC (x)	0.4	0.4	0.5	0.5
ROIC	-0.0	2.2	2.8	4.8
ROE	1.8	7.0	9.5	11.3
ROA	-0.0	1.7	2.5	4.0
EBITDA margin	18.0	26.8	28.5	32.1
Operating profit margin	-4.2	4.6	6.3	9.9
EBITDA/net interest (x)		1.3	24.4	35.4
Net debt/equity	28.3	21.5	16.1	11.6
Net debt/EBITDA (x)	3.4	1.6	1.1	0.6
CF from operations/net debt	30.0	66.6	98.8	157.5
Per share data (USD)				
EPS Rep (diluted)	-0.06	-2.23	0.75	1.57
HSBC EPS (diluted)	0.43	1.66	2.50	3.31
DPS	0.00	0.00	0.00	0.00
Book value	25.23	24.82	27.61	31.10

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	9.7	7.8	6.6	5.6
EV/EBITDA	53.8	29.1	23.3	17.4
EV/IC	3.6	3.4	3.2	2.9
PE*	212.5	54.4	36.2	27.3
PB	3.6	3.6	3.3	2.9
FCF yield (%)	-1.7	-0.5	-0.6	-0.6
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a
GHG emission intensity*	22.6
Energy intensity*	213.2
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	n/a
Employee turnover (%)	5.9
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	12
Average board tenure (years)	4.6
Female board members (%)	25
Board members independence (%)	91.7

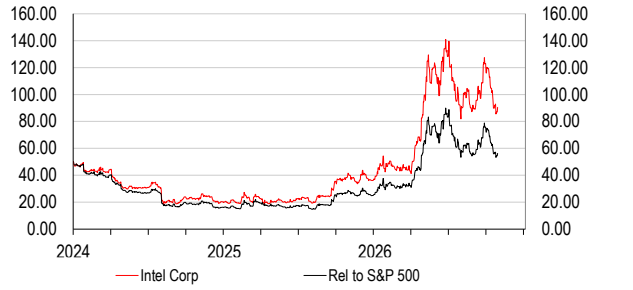
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	90.47	Free float	99%
Target price (USD)	200.00	Sector	Semiconductors
RIC (Equity)	INTC.OQ	Country/Region	United States
Bloomberg (Equity)	INTC US	Analyst	Frank Lee
Market cap (USDm)	478,140	Contact	+852 2996 6916

Price relative



Source: HSBC

Note: Priced at close of 26 Oct 2026

Intel's supply shortage risk mitigation should pay off

In our recent research, we have highlighted that there is a broad, AI led supply crunch rather than a single isolated constraint. Demand continues to run ahead of supply across much of the semiconductor and data center ecosystem. The major bottlenecks are across 1) data center capacity and power; 2) substrates, foundry wafers, and advanced packaging; 3) optical components; and 4) memory. The capacity bottlenecks are expected to persist through 2027, with a possibility of extending beyond that too. (See our note, *US Technology: Key takeaways from our Silicon Valley tech tour*, 23 September.)

In response to industry shortages of substrates and other components, Intel has continued to enter into long-term agreements with suppliers to secure component supply. To procure supply ahead of its competitors, it has made prepayments to suppliers worth USD934m y-t-d.

This will not only increase Intel's capacity to manufacture server CPUs, given that ABF substrate availability is a greater constraint than wafer supply, but also support its advanced packaging business. This is particularly relevant as the company continues to address yield challenges associated with the large reticle sizes used in EMIB-T packaging.

Our Nan Ya PCB analyst (see *Major server CPU opportunity in FY27e with continued price hikes*, 1 October 2026) also believes that Ibiden, Intel's major ABF substrate supplier will increase capacity to meet demand for Intel not only for its strong server CPU demand but also for EMIB-T packaging.

According to TrendForce (23 September 2026), Intel has agreements for substrate supply with Ibiden, Shinko Electric as well as Unimicron.

Server CPUs – key near-term growth driver; still

We remain positive on the server CPU demand driven by agentic AI. We continue to believe that the overall demand significantly exceeds the supply, supply being constrained by tightness across front-end foundry, advanced packaging, memory, etc.

Server CPU strength to offset near-term client weakness

As Intel continues to re-allocate capacity towards server CPUs, we believe client revenue will decline in 2H26. However, the strength in server CPUs should more than offset the weakness from client segment. As a result, despite our client revenue estimates being 10% below consensus for 3Q26 and 14% below consensus for 4Q26, the strength in DCAI revenue drives our overall revenue estimates to be 4% above consensus for 3Q26 and 8% above consensus for 4Q26.

We expect the same trend to continue in 2027 as although our client revenue estimates remain 6% below consensus, our DCAI revenue strength drives our overall revenue to be 4% above consensus.

Exhibit 1: Intel 3Q26 and 4Q26 preview

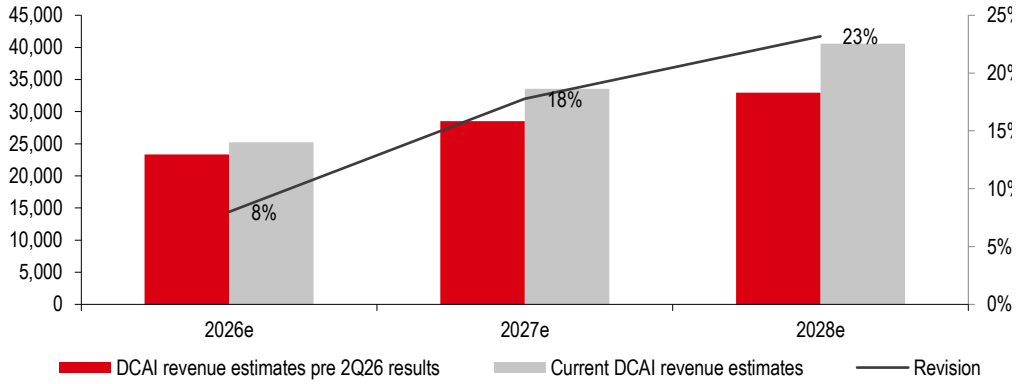
		3Q26e			4Q26e		
(USDm)	Guidance	HSBCe	Cons	HSBCe vs Cons	HSBCe	Cons	HSBCe vs Cons
CCPG		*8,050*	*8,907*	*-9.6%*	*7,365*	*8,563*	*-14.0%*
DCAI		*7,793*	*6,548*	*19.0%*	*9,574*	*7,345*	*30.3%*
Total Intel Products revenue		***15,843***	***15,456***	***2.5%***	***16,938***	***15,907***	***6.5%***
Intel Foundry		***6,024***	***5,955***	***1.2%***	***6,472***	***6,203***	***4.3%***
All others		*736*	*649*	*13.4%*	*718*	*652*	*10.1%*
Intersegment eliminations		*-5,596*	*-5,659*	*-1.1%*	*-5,865*	*-5,843*	*0.4%*
Sales	**15,800-16,800**	**17,008**	**16,386**	**3.8%**	**18,262**	**16,929**	**7.9%**
- YoY		25%	20%		34%	24%	
- QoQ		5%	2%		7%	3%	
Gross profits		7,143	6,869	4.0%	7,798	7,198	8.3%
- Gross margin (%)	**42.0%**	**42.0%**	**41.9%**	**8bps**	**42.7%**	**42.5%**	**18bps**
Operating profits		2,834	2,617	8.3%	3,223	2,846	13.2%
- Operating margin (%)		16.7%	16.0%	69bps	17.6%	16.8%	83bps
Net profits		2,224	2,009	10.7%	2,569	2,219	15.8%
EPS (USD)	**0.38**	**0.44**	**0.39**	**11.1%**	**0.50**	**0.43**	**17.4%**

Source: Source: Company data, HSBC estimates, Visible Alpha consensus estimates

Server CPU momentum remains undervalued by consensus

Consensus has significantly raised its estimates for DCAI revenue since the 2Q26 results announcement where the 2Q26 results and 3Q26 guidance beat were driven by Intel's DCAI segment performance. Since the 2Q26 results, consensus has revised up its 2026/27 DCAI revenue estimates by 8%/18%. We believe it continues to underestimate the growth potential in both 2026 and 2027. We remain more bullish on 2026 and 2027 server CPU shipments as most of the reallocation for Intel 3/7 towards server CPUs should be done and 18A should be at market-competitive yields considering its already tracking 6-months ahead of internal projections. In addition, Intel's proactive supply procurement, particularly substrates should also boost its ability to ship more serve CPUs.

Exhibit 2: Consensus' DCAI revenue (USDm) estimate revision: pre 2Q26 results vs now



Source: Visible alpha consensus estimates

Exhibit 3: DCAI revenue breakdown

(USDm)	2026e	2027e	2028e
Server CPU unit shipments (000s)	20,142	24,459	28,194
- y-o-y chg	22%	21%	15%
ASP (USD)	1,246	1,364	1,427
- y-o-y chg	51%	10%	5%
Server CPU revenue	**25,090**	**33,364**	**40,242**
Others	3,591	3,314	3,610
DCAI revenue	**28,681**	**36,679**	**43,852**
- y-o-y chg	70%	28%	20%
Consensus	25,210	33,564	40,578
HSBCe vs cons	**14%**	**9%**	**8%**

Source: HSBC estimates, Visible Alpha consensus estimates

Foundry engagement continues improving

In our note, *More upside from core server & foundry valuation*, 2 July, we highlighted the improving foundry narrative with increasing engagements across front-end foundry and advanced packaging. In our previous research, we had already highlighted Intel's engagement with Tesla/SpaceX's Terafab, Google, Apple, Microsoft and Amazon. Recently there have been increasing reports suggesting engagement with NVIDIA for gaming GPUs; Broadcom for networking switches; AMD for compute chiplets (wccftech, 15 October).

We continue to believe that advanced packaging will be a major opportunity for Intel with their EMIB-T solution. Despite potential delay of ramp of Google's TPU v9 at MediaTek to end of 2027 or potentially 2028, we continue to believe that more companies are actively engaged with Intel to procure EMIB-T capacity for 2027 and 2028. EMIB-T could drive external foundry revenues ahead of front-end fabrication.

Exhibit 4: Customers engaged with Intel for EMIB-T

Customer	Product	Timeline
Amazon	Trainium 3	1H27
Qualcomm	CPU server	2H27
MediaTek	TPU v9	2H27-1H28
Amazon	Trainium 4	2H28
Microsoft	Maia 400	2H28
NVIDIA	TBC	2H28
Broadcom	TPU	TBC

Source: HSBC estimates

Exhibit 5: Intel estimate revisions and comparison with consensus

	New			Old			Diff			Consensus			HSBC vs Cons		
(USDm)	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
CCPG	*32,019*	*31,826*	*34,037*	*33,119*	*31,826*	*31,521*	-3%	0%	8%	*33,902*	*33,860*	*35,514*	-6%	-6%	-4%
DCAI	***28,681***	***36,679***	***43,852***	***25,684***	***36,678***	***41,743***	**12%**	**0%**	**5%**	***25,210***	***33,564***	***40,578***	**14%**	**9%**	**8%**
Intel Products revenue	60,699	68,504	77,889	58,803	68,503	73,263	3%	0%	6%	59,146	67,424	76,092	3%	2%	2%
Intel Foundry	**23,682**	**27,500**	**34,201**	**23,682**	**27,500**	**32,937**	**0%**	**0%**	**4%**	**23,424**	**27,618**	**34,101**	**1%**	**0%**	**0%**
All Other	2,783	2,909	2,972	2,783	2,909	2,972	0%	0%	0%	2,604	2,809	3,207	7%	4%	-7%
Intersegment eliminations	-22,189	-23,400	-26,145	-22,239	-23,400	-26,145	0%	0%	0%	-22,240	-24,730	-29,177	0%	-5%	-10%
Sales	**64,975**	**75,513**	**88,917**	**63,029**	**75,512**	**83,027**	**3%**	**0%**	**7%**	**63,051**	**72,801**	**83,921**	**3%**	**4%**	**6%**
- y-o-y chg	23%	16%	18%	19%	20%	10%				19%	15%	15%			
Adjusted gross profits	27,248	34,181	41,879	26,505	34,201	39,070	3%	0%	7%	26,309	31,563	38,401	4%	8%	9%
- Adjusted GM	**41.9%**	**45.3%**	**47.1%**	**42.1%**	**45.3%**	**47.1%**				**41.7%**	**43.4%**	**45.8%**			
Adjusted operating profits	10,495	14,252	18,477	9,047	14,322	17,353	16%	0%	6%	9,857	13,526	19,407	6%	5%	-5%
- Adjusted OPM	16.2%	18.9%	20.8%	14.4%	19.0%	20.9%				15.6%	18.6%	23.1%			
Adjusted net income	8,475	12,726	16,892	7,499	12,747	15,780	13%	0%	7%	7,835	10,992	16,726	8%	16%	1%
Adjusted EPS	**1.66**	**2.50**	**3.31**	**1.47**	**2.50**	**3.09**	**13%**	**0%**	**7%**	**1.53**	**2.11**	**3.23**	**9%**	**18%**	**2%**
- y-o-y chg	290%	50%	33%	245%	70%	24%				265%	38%	53%			

Source: Company data, HSBC estimates, Visible Alpha consensus estimates

Exhibit 6: Intel quarterly and annual P&L

(USDm)	2025	1Q26	2Q26	3Q26e	4Q26e	2026e	1Q27e	2Q27e	3Q27e	4Q27e	2027e	2028e
Sales	52,853	13,577	16,128	17,008	18,262	64,975	19,297	19,346	19,009	17,861	75,513	88,917
- y-o-y	0%	7%	25%	25%	34%	23%	42%	20%	12%	-2%	16%	18%
- q-o-q		-1%	19%	5%	7%		6%	0%	-2%	-6%		
Gross profits	18,375	5,347	6,509	6,913	7,568	26,337	8,335	8,415	8,320	7,870	32,941	40,639
Gross margin	35%	39%	40%	41%	41%	41%	43%	43%	44%	44%	44%	46%
- y-o-y	6%	14%	84%	32%	53%	43%	56%	29%	20%	4%	25%	23%
- q-o-q		8%	22%	6%	9%		10%	1%	-1%	-5%		
Operating profits	-2,214	-3,136	1,796	1,848	2,495	3,003	-3,035	2,454	2,384	2,989	4,791	8,830
OP margin	-4%	-23%	11%	11%	14%	5%	-16%	13%	13%	17%	6%	10%
- y-o-y	-81%	942%	-157%	171%	330%	-236%	-3%	37%	29%	20%	60%	84%
- q-o-q		-641%	-157%	3%	35%		-222%	-181%	-3%	25%		
Net income	-267	-3,728	-11,033	1,388	1,991	-11,382	-2,797	2,090	2,020	2,533	3,845	8,026
- y-o-y	-99%	354%	278%	-66%	-437%	4163%	-25%	-119%	46%	27%	-134%	109%
- q-o-q		531%	196%	-113%	43%		-240%	-175%	-3%	25%		
Net margin	-1%	-27%	-68%	8%	11%	-18%	-14%	11%	11%	14%	5%	9%
EPS (USD)	-0.06	-0.73	-2.16	0.27	0.39	-2.23	-0.55	0.41	0.40	0.50	0.75	1.57
- y-o-y	-99%	288%	224%	-70%	-421%	3687%	-25%	-119%	46%	27%	-134%	109%
- q-o-q		503%	195%	-113%	43%		-241%	-175%	-3%	25%		
Non-GAAP												
Gross profit	19,410	5,570	6,737	7,143	7,798	27,248	8,645	8,725	8,630	8,180	34,181	41,879
Gross margin	36.7%	41.0%	41.8%	42.0%	42.7%	41.9%	44.8%	45.1%	45.4%	45.8%	45.3%	47.1%
Operating profit	2,916	1,668	2,770	2,834	3,223	10,495	3,566	3,475	3,444	3,766	14,252	18,477
Operating margin	5.5%	12.3%	17.2%	16.7%	17.6%	16.2%	18.5%	18.0%	18.1%	21.1%	18.9%	20.8%
Net income	1,929	1,485	2,197	2,224	2,569	8,475	3,673	2,961	2,931	3,160	12,726	16,892
EPS (USD)	0.43	0.29	0.43	0.44	0.50	1.66	0.72	0.58	0.57	0.62	2.50	3.31
- y-o-y	-422%	119%	-526%	93%	219%	290%	147%	35%	32%	23%	50%	33%
- q-o-q		85%	47%	1%	16%		43%	-19%	-1%	8%		

Source: Company data, HSBC estimates

Valuation and risks

We derive our street-high rounded target price of USD200.00 (unchanged) based on a sum-of-the-parts valuation approach.

For our SOTP valuation, we segregate Intel's business into its core segment, including DCAI, client and all others, and its foundry segment.

We assume Intel foundry's non-GAAP operating margin of -10.6% in 2027e with the corporate non-GAAP operating margin of 18.9% being driven by the core segment (non-GAAP operating margin of 30%). Allocating the non-op expenses in the ratio of revenue mix, we derive our non-GAAP EPS of USD4.18 for the core business and loss of USD1.68 per share for the foundry segment for 2027.

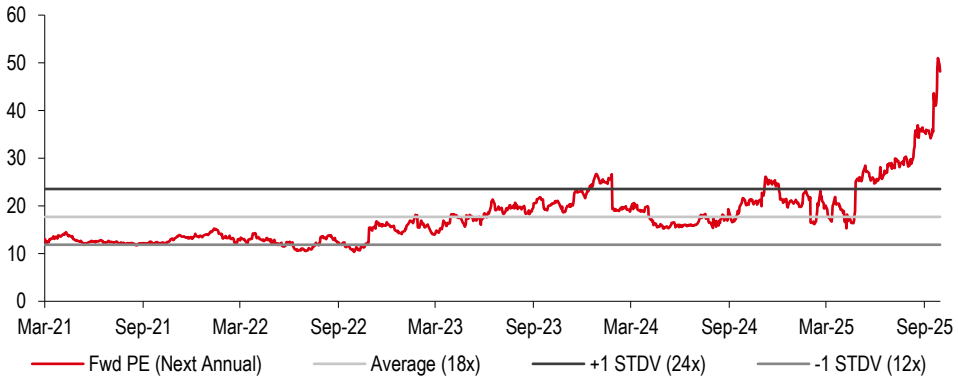
We apply a 30x (unchanged) 2027e target PE multiple to the core business EPS which derives our rounded implied value per share of USD125 for the core business. Our multiple of 30x is in line with 2SD above the historical average, which we believe is justified given our more aggressive growth estimates.

Intel's Book Value of USD140.8bn is driven mostly by property, plant and equipment (PPE) – which we believe can be mostly attributed to the foundry business. As PPE contributed 89% to the book value, we assume 89% of the total book value is the book value for the foundry business. With an implied BV of USD124.8bn, we calculate the BVPS for foundry business of USD24.47 (previously USD24.42). We use a target 2027e PB of 3.1x – slightly above the average 2027e PB for second tier foundries (2.6x). We benchmark it only against the second-tier foundries, and not TSMC, which trades at 5.5x PB as we await customer confirmations and improving margins from the foundry business. Applying our 2027e target PB of 3.1x to Foundry BVPS of USD24.47 gives us our rounded implied fair value per share for the foundry business of USD75.

Adding the value derived for the core business and foundry business gives us our street-high target price of USD200. With c121% implied upside, we retain our Buy rating. We believe the server CPU growth could continue to drive upside to earnings coupled with improving Intel Foundry narrative.

Downside risks: 1) Worse-than-expected server CPU unit shipments; 2) weaker-than-expected server CPU pricing hike; and 3) higher margin dilution due to foundry ramp

Exhibit 7: Intel: Forward PE trend (March 2021–Sep 2025)



Source: FactSet

Exhibit 8: Sum-of-the-parts valuation

(USDm)	Core	Foundry	Total
Core business valuation			
Revenue	48,013	27,500	75,513
Mix	64%	36%	
Adjusted operating profits	22,276	-8,025	14,252
- Adjusted OPM	30.0%	-10.6%	18.9%
Non-op income/(expenses)	-970	-556	-1,526
Adjusted net income	21,306	-8,580	12,726
Adjusted EPS (USD)	**4.18**	**(1.68)**	**2.50**
Target PE	30.0x	0x	
Rounded implied price (USD)	**125.00**	**-**	
Foundry business valuation			
Intel Book Value			140,802
PPE as % of Book Value			89%
Intel Foundry Book Value		124,763	
Intel Foundry BVPS		24.47	
Target PB		3.1x	
Rounded implied price (USD)		**75.00**	
Intel target price (USD)	**125.00**	**75.00**	**200.00**
Implied upside			121.1%

Upside based on price as of close 26 Oct 2026 Source: HSBC estimates, Bloomberg

Exhibit 9: Comps

						PE (x)		PB (x)		EPS growth		OM	
Company	**Ticker**	**Currency**	**CMP**	**TP**	**Rating**	**2026e**	**2027e**	**2026e**	**2027e**	**2026e**	**2027e**	**2026e**	**2027e**
Intel	INTC US	USD	90.47	200.00	Buy	54x	36x	3.6x	3.3x	290%	50%	16.2%	18.9%
Advanced foundry													
TSMC	2330 TT	TWD	2,385.00	3,850.00	Buy	22x	15x	7.9x	5.5x	66%	41%	58.4%	58.6%
Second-tier foundries													
GlobalFoundries	GFS US	USD	45.00	55.00	Hold	23x	17x	2.1x	2.1x	14%	31%	17.7%	20.5%
United	2303 TT	TWD	125.50	153.00	Buy	17x	16x	4.8x	3.2x	121%	4%	22.6%	26.2%
Vanguard	5347 TT	TWD	161.00	187.00	Buy	27x	19x	3.8x	3.2x	38%	44%	19.9%	20.4%
SMIC	981 HK	HKD	45.92	106.00	Buy	28x	20x	2.0x	1.8x	142%	37%	16.6%	17.0%
Second-tier foundry average						**24x**	**18x**	**3.2x**	**2.6x**	**79%**	**29%**	**19.2%**	**21.0%**

Source: Bloomberg, HSBC estimates,
Note: Priced as of close of 26 Oct 2026

Exhibit 10: Other companies mentioned in the report

Company	Ticker	Currency	CMP	TP	Rating
Amazon	AMZN US	USD	249.09	310.00	Buy
AMD	AMD US	USD	531.28	500.00	Hold
Apple	APPL US	USD	343.91	366.00	Buy
Broadcom	AVGO US	USD	329.17	560.00	Buy
Ibiden	4062 JP	JPY	8,248.00	NR	NR
MediaTek	2454 TT	TWD	4,010.00	4,000.00	Hold
Microsoft	MSFT US	USD	532.60	595.00	Buy
Nan Ya PCB	8046 TT	TWD	1,265.00	1,890.00	Buy
NVIDIA	NVDA US	USD	216.00	365.00	Buy
Qualcomm	QCOM US	USD	179.60	165.00	Hold
Shinko Electric	Not listed				
SpaceX	SPCX US	USD	146.90	150.00	Hold
Tesla	TSLA US	USD	391.62	157.00	Reduce
Unimicron	3037 TT	TWD	1,085.00	1,130.00	Buy

Source: Bloomberg, HSBC estimates
Priced as of close of 26 Oct 2026

Disclosure appendix

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Upside/Downside is the percentage difference between the target price and the share price.

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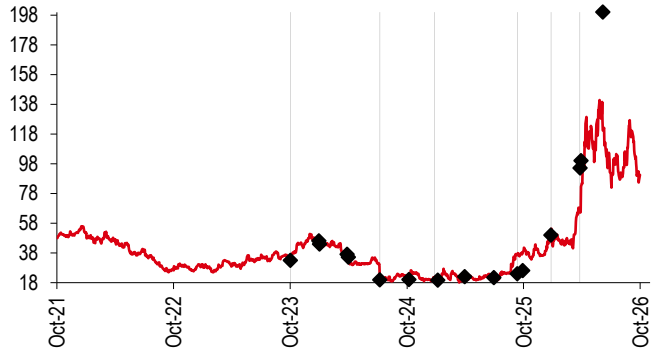
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Share price and rating changes for long-term investment opportunities

Intel Corp (INTC.OQ) share price performance USD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Hold	27 Oct 2023	Frank Lee
Reduce	Reduce	02 Aug 2024	Frank Lee
Hold	Hold	21 Jan 2025	Frank Lee
Reduce	Reduce	07 Oct 2025	Frank Lee
Hold	Hold	20 Jan 2026	Frank Lee
Buy	Buy	21 Apr 2026	Frank Lee
Target price	**Value**	**Date**	**Analyst**
Price 1	33.00	27 Oct 2023	Frank Lee
Price 2	46.00	24 Jan 2024	Frank Lee
Price 3	44.00	26 Jan 2024	Frank Lee
Price 4	37.00	22 Apr 2024	Frank Lee
Price 5	35.00	26 Apr 2024	Frank Lee
Price 6	19.80	02 Aug 2024	Frank Lee
Price 7	20.00	01 Nov 2024	Frank Lee
Price 8	19.50	31 Jan 2025	Frank Lee
Price 9	22.00	25 Apr 2025	Frank Lee
Price 10	21.25	25 Jul 2025	Frank Lee
Price 11	24.00	07 Oct 2025	Frank Lee
Price 12	26.00	24 Oct 2025	Frank Lee
Price 13	50.00	20 Jan 2026	Frank Lee
Price 14	95.00	21 Apr 2026	Frank Lee
Price 15	100.00	24 Apr 2026	Frank Lee
Price 16	200.00	02 Jul 2026	Frank Lee

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
INTEL CORP	INTC.OQ	90.47	26 Oct 2026	6, 7

Source: HSBC

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